

Both benches hit a permission wall on the IBKR rail; so did I — `search_contracts` was denied in this session, so there is no live chain. That constrains the VOL READ, and I say so explicitly in the deck rather than substituting an aggregate IV feed for chain-level quotes.

PITCH — IFF — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order: the no-alcohol picks-and-shovels case dies on order-of-magnitude materiality ($\sim 0.03\text{--}0.13\%$ of revenue), and the separate carve-out case at $\sim 14.4\times$ pro-forma was never tried, so it is neither bought nor killed here.

What we believe

Three things, and only the first is a conviction.

1. Removing ethanol from beer breaks three distinct things, and only one of them is a flavour-house sale. Ethanol is not a passenger. It is a substrate for ester formation, a solvent that holds warty Strecker aldehydes out of the headspace, and a TRPV1 agonist that produces “warmth.” Each break is repaired by a different party. The ester deficit is stoichiometric — no ethanol, no ethyl esters ([Muller et al. 2020](#)). The aldehyde problem switches on abruptly at $\sim 0.5\%$ ABV because that is where ethanol stops retaining them in liquid. The warmth deficit cannot be fixed by any process at all — only by adding a molecule.

2. Because of that, the “theme” cannot lift a basket. Each of the two production routes pays a *different* set of vendors. Physical removal (membrane/RO, vapour stripping, spinning cone) pays the equipment makers. The biological route — interrupted fermentation, cold contact, special yeast — needs **no additional plant equipment at all**, stated as its principal advantage in the peer-reviewed literature. So every hectolitre of NA beer routes to exactly one leg and starves the others. IFF’s own DIAZYME NOLO is *marketed* as reducing dealcoholisation energy and throughput burden — i.e. as a reason to defer buying the equipment. A basket long IFF and long GEA is long both sides of the same substitution.

3. IFF is not where the NA money is, and the amount of NA money is small. NA beer is $\sim 2\%$ of $\sim 1.85\text{bn}$ hL of global beer $\approx 37\text{m}$ hL. Purchased repair chemistry runs $\sim \$0.30\text{--}1.50/\text{hL}$. That is a global pool of **\$11–55m**, split among at least six suppliers. IFF’s share: **\$2–10m against a \$7.4–7.6bn revenue guide** — 0.03% to 0.13% . Meanwhile the only primary-verifiable patent aimed at the one unfixable break (warmth) belongs to **dsm-firmenich**, which was not in the basket, and the masking fix is patented by **Heineken** — the customer.

We believe the kill. We do not believe it says anything about whether IFF the equity is cheap.

What the market believes

The market has no view on non-alcoholic beer at IFF whatsoever, and that is the point — IFF's own Q2 2026 earnings release does not contain the words alcohol, beer, or NOLO, and attributes Health & Biosciences growth to "Grain Processing, Food Biosciences & Animal Nutrition" (8-K Ex-99.1, 2026-08-04).

What the market is actually trading is a **portfolio-reshaping story**: Pharma Solutions sold May 2025, Soy Crush/Concentrates/Lecithin closed March 2026, and Food Ingredients agreed to CVC for \$3.832bn with close expected by end of Q2 2027 and IFF retaining ~10% of the vehicle (8-K 2026-08-04, Item 7.01). At \$82.83 that is a \$21.1bn cap, ~\$26.3bn EV, **16.8x the FY26 EBITDA guide and ~14.4x pro-forma the CVC proceeds**, 27.1x consensus EPS of \$3.06. Street price target \$91.21, about +10%. The consensus story is: close the deal, delever off 2.5x, and let guided EBITDA growth of cc +4–8% against sales of cc +2–4% do the work.

Why we might have edge

Honestly: on the thesis as filed, we don't — and the honest form of the edge is that we established that cheaply and are declining to pay for it.

Where we did do work the street has not:

- **We priced the pool from two independent directions and got the same answer.** Top-down (37m hL x \$0.30–1.50/hL, six ways) and bottom-up off DIAZYME NOLO's *own* marketing — it is sold on cost savings, "up to 37% grist saving," which on ~\$8–12/hL of malt is \$3.0–4.4/hL saved, of which a supplier captures 20–30% = \$0.6–1.3/hL. Two routes, same band. That is the strongest form the kill can take.
- **We read the patent landscape as an ownership map rather than a technology map.** The unengineerable break has a named owner and it is not IFF.
- **We identified an item neither the original thesis nor the first bench priced:** the retained ~10% equity in the CVC vehicle becomes an equity-method or Level-3 carrying value on a business IFF no longer controls — valuation opacity attached to a \$3.832bn disposal.
- **The mechanism generalises.** "A thematic basket whose legs are technical substitutes for each other cannot be lifted by the theme" is filed as a reusable detector, not a one-off.

Why it might be priced in

Most of the above isn't "priced in" — it's *irrelevant to price*, which is worse. A correct NA call moves ~0.1% of revenue. You cannot be paid for being right about it. The next four quarters of IFF equity are driven by deal close, leverage and mix, not by beer.

And on the parts that do matter to price, we are not differentiated:

- We produced the street's numbers and no desk fair value beside them. Ruling IFF "fairly priced" on that basis is counting analysts, not naming a mechanism — that finding was struck from the kill for exactly this reason.

- The “Nourish segment no longer exists” observation is the publicly disclosed January-2025 resegmentation, carried in every sell-side note. Consensus, not novel.
- The deceleration case is weaker than it first looked (see below), which makes the business look better and does nothing for us either way.

What could go wrong

This is a FLAT verdict, so the losses available to us are the losses of being absent, and of buying the reopen band for the wrong reason.

Failure 1 — we filed the right kill on the wrong question, and the name runs without us.

Monitorable. We killed “IFF as an NA-chemistry expression” and never tried “IFF as a post-carve-out compounder at ~14.4x with EBITDA guided to grow at twice sales.” If the CVC deal closes on schedule and the multiple re-rates, IFF prints \$95–105 and our reopen band at ~\$62 never comes. Tripwire: price gate at \$91.21 (street PT reached) forces the untried carve-out court, not a chase.

Failure 2 — the reopen band fires because the denominator moved. *Monitorable, and the trap is well-documented in our own history.* \$62 is defined as 11x *pro-forma* EBITDA. The stock reaches \$62 most easily by the EBITDA guide breaking or the CVC deal breaking — in which case the multiple we thought we were buying does not exist. This is the beta-bleed-vs-dislocation error in its purest form: a price gate that fires for the reason that invalidates it. Tripwire: no purchase at \$62 without an 8-K-confirmed deal path and a reaffirmed guide.

Failure 3 — NO MONITORABLE TRIPWIRE. The materiality kill rests on a number nobody publishes. Our entire order-of-magnitude verdict is built on a per-hectolitre price for purchased NA repair chemistry that does not exist in any filing, any regulatory disclosure, or any vendor pricing sheet. If NA repair is not sold per-litre as commodity chemistry but as a **bundled multi-year systems contract** — flavour system + enzyme + technical service + line qualification, priced at \$8–25/hL under exclusivity with a top-five brewer — then our TAM is wrong by precisely the order of magnitude we killed on. There is no instrument that would tell us. Ingredient shipments carry generic HS 3302 codes with no application field. Brewers do not disclose supplier identity. IFF publishes no end-market disaggregation, and we confirmed the 10-K does not contain that table. **Unknown-unknown class: private-contract pricing opacity in B2B ingredient supply** — the same class as supplier-identity non-disclosure, and rated permanently unverifiable in the science brief. We are betting on a base rate against an unobservable contract structure, and we would never learn we were wrong.

The reflexive / structural leg. Our own size is *not* the risk here, and it is worth stating why rather than assuming it. On an estimated \$125–200m of daily dollar volume, a 1% book position is roughly 0.1–0.2% of ADV — three orders of magnitude below the 1%-of-ADV publishing ceiling. There is no market impact, no predicted-flow problem, and the value-ladder flow gate does not bind. The real structural interaction is elsewhere: **IFF is an S&P constituent and the Parametric direct-index sleeve is levered 159%**, so it very likely already holds IFF. Buying at a reopen band while that sleeve harvests creates wash-sale entanglement and silent duplication in a name we just rejected on the merits — and 2026 is a harvest year with a \$1.855m reserve against a zero-

basis gain. Second doctrine interaction: any option expression whose loss branch lands after Dec 31 defers the loss out of the harvest year, which alone disqualifies every 2027-dated structure unless the edge numerically dominates. It does not (arithmetic below).

If this position loses money, the most likely reason will be that we bought the reopen band at ~\$62 for the multiple rather than for the business, and the multiple was cheap because the CVC proceeds or the EBITDA denominator had already moved before we did.

What we checked ourselves

Claim	How checked	Found	Confirmed?
NA-repair chemistry is material to IFF	Top-down TAM (37m hL x \$0.30–1.50/hL ÷ 6) and independent bottom-up off DIAZYME NOLO's own grist-saving claim	\$2–10m to IFF = 0.03–0.13% of the \$7.4–7.6bn guide; both routes land in the same band	REFUTED — the thesis dies here
Our own kill threshold was set correctly	Re-derived the price at which the pool crosses 2% of group	Red's stated \$8/hL trigger is mis-set by ~3x — \$8/hL gives \$296m pool, IFF \$49m = 0.65%, still under the bar. True crossing is ~\$24/hL six-way , more than half of beer's entire ex-packaging COGS. Our own bench understated its case.	Corrected; kill survives a 3x widening of both price and scope
"Vetted disclosure names no beverage end-market"	First bench read only the 10-Q and 8-K; second bench opened the <u>FY2025 10-K</u>	BENCH ERROR. The 10-K names it twice — Taste serves "beverages (juice drinks, carbonated or flavored beverages, spirits, etc.)" and H&B products go to "ethanol production and brewing." Silence was declared from the wrong venue	REFUTED as stated. Substance survives (no <i>quantified</i> disaggregation exists anywhere), but the finding's grade was wrong
"H1 –3% corroborates deceleration"	Recomputed on a consistent basis from the 8-K	BENCH ERROR. H1 comparable currency-neutral is +4% , not –3%; the –3% is FX plus comparability stacked as if it were corroboration. Q2 cc +6% against H1 cc +4% implies Q1 ≈ +2% → acceleration , not deceleration. Implied H2 cc is 0–4%, not 0–2%. Also omitted: EBITDA guided cc +4–8% vs sales +2–4% = margin expansion	REFUTED. Correcting it makes IFF look better as a business and no better as an NA expression

Claim	How checked	Found	Confirmed?
“IFF holds zero NA patents”	USPTO/Google Patents assignee + CPC search	BENCH ERROR of grade. <i>A negative search result</i> was graded CONFIRMED; the underlying claim is tagged UNVERIFIABLE (none located ≠ none exist)	Downgraded to “none located.” The fatal half — dsm-firmenich holds WO2026064099A1 against the trigeminal break and is not in the basket — stands
“Equipment vendors are paid on every retrofit”	Peer-reviewed route comparison vs vendor marketing	BENCH ERROR of evidence grade. The GEA leg rested on GEA’s own claim that flavours “do not need to be restored,” which the peer-reviewed source directly contradicts (significant low-MW aroma loss). Mechanism survives on the unconflicted peer-reviewed finding that the biological route needs no equipment	CONFIRMED on the peer-reviewed leg, PLAUSIBLE on the vendor leg
“We agree with the street, therefore fair”	Doctrine check	STRUCK as non-independent. Street numbers were produced with no desk FV beside them. IFF is heavily covered, so orphan discipline does not rescue it. What survives is only the materiality finding restated	Not a verdict on IFF-the-equity
Pro-forma EV/EBITDA	Recomputed: EV \$26.3bn – \$3.832bn proceeds = \$22.5bn ÷ \$1.53–1.60bn guide (guide is already continuing-ops, so no EBITDA adjustment)	14.1–14.7x, 14.4x at guide midpoint — a small drift from the bench’s stated 14.8x. Does not touch the verdict	Corrected
Thesis routes IFF via the “Nourish segment”	10-Q for period 2026-06-30	Nourish does not exist. Segments are Taste / H&B / Scent. Any NA-exposure ratio on a Nourish denominator was built on a segment that was retired in Jan-2025	CONFIRMED — and it is CONSENSUS knowledge, not a novel kill
Where IFF’s NA capability actually sits	Product/segment mapping	The only NA-branded IFF asset located is DIAZYME NOLO, an enzyme — Health & Biosciences, not Taste. The thesis had it in the wrong segment	Corrected
Retained ~10% CVC stake	8-K Item 7.01	Becomes a Level-3 / equity-method carrying value on a business IFF no longer	CONFIRMED as unpriced — carried forward as an open item

Claim	How checked	Found	Confirmed?
		controls. Neither bench priced it	
Dilution	255,149,963 sh (10-Q cover, 7/31/26) vs 257m diluted (2025-06-30); SBC \$19m/qtr	Flat-to-down. Explicitly declined as a kill — FATAL-tag discipline held rather than stacking a weak finding	Not a kill
Live tape and options chain	Attempted IBKR re-poll — search_contracts permission-denied to both benches and to me	Spot is the evidence pack's ibkr_gw rail at 82.83, not independently re-polled by anyone . No chain-level midpoint IV, no real strike quotes, no IV percentile	NOT CONFIRMED — see VOL READ; this is the single largest instrumentation gap in the deck
Next print 2026-11-03	Searched the filing inventory for a company PR naming it	yfinance-derived, UNCONFIRMED . ~42 trading days out, outside any pre-print window	Not confirmed
Detector coverage	Cross-checked both benches against the dispatch set	First bench omitted 5 atlas entries and substituted 6 not in the set; second bench ran the omitted 5 — all NOT-FIRED, none load-bearing. customer_id is the one genuine gap and is rated permanently unverifiable (HS 3302 carries no application field)	Coverage restored; gap reported, not skipped

PROPOSED ENTRY BANDS

The courts say NO ENTRY. There is no immediate entry, no order, no starter. The clean-court minimum-starter default does not apply here because three named novel kills exist (materiality, basket-internal substitution, dsm-firmenich exclusion). FLAT is the verdict, not a shrug.

Reopen bands — each requires a NEW court, not an automatic buy:

Trigger	Level / condition	What it would mean	Action if it fires
Valuation (d)	\$61–64, midpoint ~\$62.40 — derived: $11 \times \$1.565\text{bn} = \17.2bn target pro-forma EV, + \$3.832bn proceeds – \$5.13bn net debt = \$15.9bn ÷ 255.15m sh	The name becomes ownable on the carve-out, not on NA. Note this is ~5% above the 52-week low of \$58.42 — it has traded there inside the last year	Open a new carve-out court . If clean: 0.5–1.0% starter in calendar tranches, tax-lot aware. Never on this court's authority
Materiality (b), repriced	Primary evidence of purchased NA chemistry at ≥\$24/hL six-way , or ≥\$8/hL with ≥50% IFF global share	The only number that resurrects the NA thesis	Re-court NA

Trigger	Level / condition	What it would mean	Action if it fires
IP (c)	Granted IFF/Danisco patent claiming IMO-generation in brewing (CPC C12C/C12H) plus a named exclusive with a top-five brewer	Turns a marketing claim into a defensible position	Re-court NA
Trigger (a) — STRUCK	Was: “10-K end-market disaggregation showing beverage $\geq 5\%$ ”	The table does not exist in the 10-K. A trigger that cannot resolve is not a trigger	Removed permanently
Absence gate	\$91.21 touched (street PT) with no desk FV on file	We forewent the entire consensus move without ever pricing the business	Forces the untried carve-out court — as discipline, not as a chase

Catalyst dates: Q3 print **2026-11-03** (yfinance-derived, unconfirmed — treat as a window, not a date). FY2026 10-K, estimated **mid-to-late Feb 2027** on prior-year cadence — the venue for any end-market language change and the retained-stake accounting policy. **CVC Food Ingredients close, expected by end of Q2 2027 (2027-06-30)** — company expectation, subject to regulatory approvals and consultation requirements, not a contractual outside date we have seen. First post-close 10-Q is where the ~10% retained stake gets a carrying value.

Sizing: zero today. On reopen: 0.5–1.0%, and only after checking the Parametric sleeve for an existing IFF holding — duplication and wash-sale entanglement are live risks in a harvest year.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 58.42 (deck-provisional: 52-week low breach - distinguish dislocation from beta-bleed before any re-court)
- filing watch: 8-K until 2027-03-02 (deck-provisional: CVC Food Ingredients transaction: regulatory approval, consultation completion, close, repricing or te)
- dated pack IFF|2026-11-03: IFF: Q3 2026 earnings print - yfinance-derived, no company PR names it (date confirmed=False)
- dated pack IFF|2027-02-19: IFF: FY2026 10-K - date estimated from prior-year filing cadence, not announced (date confirmed=False)
- dated pack IFF|2027-06-30: IFF: CVC Food Ingredients close - company expectation ‘by end of Q2 2027’, subject to regulatory approvals; not a contractual outside date w

What remains unverified

1. **Purchased NA-repair chemistry cost per hectolitre, from a primary source.** Not drainable — no brewer publishes an ingredient-line COGS breakdown and no techno-economic study located. *Estimate: \$0.30–1.50/hL, basis: flavour/enzyme add-back at 1–3% of ~\$30–60/hL ex-packaging beer COGS, corroborated independently by the DIAZYME NOLO grist-saving*

arithmetic (\$0.6–1.3/hL capturable). $p \approx 0.8$ the true value lies in band. The kill survives to 15x the top of this band.

2. **IFF beverage/alcohol revenue as a share of group.** Confirmed absent from the 10-K; no disaggregation exists in any public venue. *Estimate: beverages ~25–35% of Taste, basis: Givaudan's disclosed Taste & Wellbeing split (Beverages 36%) as the closest public comp — ~\$700–950m of group, of which alcohol is a minor slice and NA a rounding error. $p \approx 0.5$.*
3. **Whether the departing Food Ingredients texturants/emulsifiers serve dealcoholised-beverage body-rebuild applications.** Not drainable until carve-out financials or close. *Estimate: <\$20m of the disposal group's revenue, basis: NA beverage share of the texturant end market. $p \approx 0.6$.*
4. **Carrying value and accounting method for the retained ~10% CVC equity interest.** Drainable at the first post-close 10-Q ($\approx$ Q3 2027). *Estimate: ~\$383m at implied deal value ($10\% \times \$3.832bn$), likely initially carried at cost or equity method rather than marked. $p \approx 0.7$.*
5. **Whether a granted IFF/Danisco patent claims IMO-generation in brewing.** Drainable now via a USPTO assignee + CPC C12C/C12H search. Currently “none located,” which is not “none exists.”
6. **IFF's current dividend rate.** Not in the pack; drainable now via XBRL / 10-Q financing activities. *Estimate: \$0.40/qtr, ~1.9% yield, basis: last known declared rate. $p \approx 0.7$. Material to the EV line below.*
7. **Chain-level implied volatility, IV percentile, and RV — hence the VRP.** Not drainable: IBKR permission-denied to both benches and to this deck. *Estimate: 1-yr IV ~28–32%, basis: large-cap specialty-chemical base rate with a pending regulatory-conditioned disposal. IV percentile unknown. $p \approx 0.6$.*
8. **Q3 2026 print date.** Not drainable until IFF issues the PR. *Estimate: 2026-11-03 ± 5 sessions, basis: yfinance derivation plus prior-year cadence. $p \approx 0.7$.*
9. **Whether the Parametric direct-index sleeve already holds IFF.** Drainable now from the newest holdings bundle. Load-bearing for wash-sale and duplication in a harvest year.
10. **IFF average daily dollar volume.** Not drainable (same permission wall). *Estimate: 1.5–2.5m shares $\approx$ \$125–200m/day, basis: S&P mid-large-cap turnover base rate at a \$21bn cap. $p \approx 0.7$. Used in the reflexive leg.*
11. **Which GEA division books AromaPlus/brewery revenue and its size.** Drainable now from GEA's H1 2026 interim report (published 2026-08-10) division notes. Bears on the untried GEA leg, not on IFF.
12. **UK “alcohol-free” ceiling consultation launch.** Not drainable — no date announced. *Estimate: launch within 12 months $p \approx 0.45$; enactment materially later.*

PRIZE TABLE + VOL READ

Required because items 1, 3, 4, 7 and 12 are genuinely private or time-gated. This table prices **IFF the equity over ~12 months**, not the NA thesis — the NA thesis has no prize table because it has no measurable prize. Treat this as indicative: **the carve-out case was not tried by either bench**, and this table is a placeholder for that court, not a substitute for it.

Anchor: street PT \$91.21 (+10.1% from \$82.83). Anchor-and-adjust applies.

#	Scenario	p	Price
1	CVC closes on schedule ($\leq$ Q2 2027), proceeds delever off $\sim 2.5\times$, guide holds, modest re-rate toward peers	0.40	\$95
2	Close drags into H2 2027 on regulatory/consultation timing; results in-line; no re-rate	0.25	\$86
3	Deal breaks or is repriced; leverage stays high; conglomerate discount widens	0.10	\$64
4	Organic lands at the 0% low end of implied H2 cc and FY EBITDA misses guide; de-rate to $\sim 12\times$ pro-forma	0.15	\$70
5	Close early + EBITDA at the cc +8% top end + retained stake marked up; re-rate to $\sim 17\times$ pro-forma	0.10	\$108

EV = $0.40(95) + 0.25(86) + 0.10(64) + 0.15(70) + 0.10(108) = \$87.20 \rightarrow +5.3\%$ price, $\sim +7.2\%$ total return including the estimated $\sim 1.9\%$ yield (open item 6).

Anchor check: EV \$87.20 vs anchor \$91.21 = **-4.4%** , inside the $\pm 5\%$ band, so no mechanism is owed. For the record the deviation is entirely the 10% deal-break branch, which a price target does not carry.

$\sigma_{\text{table}} = 12.89 \rightarrow 14.8\%$ of EV, annualised (T = 1).

Expression math

Chain-level quotes are UNAVAILABLE — IBKR permission-denied. Doctrine forbids substituting the underlying's aggregate IV feed for chain midpoints (the TSSI lesson: 71 vs 101). So the arithmetic below is run against a *modelled* chain at an estimated 30% IV and is labelled as such. It is shown because the conclusion is robust across the entire plausible IV range, not because the input is good.

Pricing the candidate strikes off the table itself, $C_{\text{ours}} = \sum p_i \cdot \max(S_i - K, 0)$, discounted at 4%:

Strike (1-yr)	C_ours (from the table)	Modelled chain @ 30% IV	Ratio
K = 85	$(95-85)(.40) + (86-85)(.25) + (108-85)(.10) = \$6.55 \rightarrow$ \$6.30	\$10.40	we'd pay 1.65x our own fair value

Strike (1-yr)	C_ours (from the table)	Modelled chain @ 30% IV	Ratio
K = 90	(95–90)(.40) + (108–90) (.10) = \$3.80 → \$3.65	\$8.37	we'd pay 2.29x our own fair value

Breakeven IV for K=85 is ≈17% — below the table's own dispersion and implausible for a name carrying a \$3.8bn regulatory-conditioned disposal. The conclusion does not depend on the 30% estimate.

σ_table 14.8% versus IV-√T ≈ 30%: our table is *half* as dispersed as the option market. Mechanically that is a premium-*selling* signal, not a buying one. It routes straight into the taxable premium-selling gates and fails them: PAID-TRIM covered calls require ownership (we own nothing); the event-IV CSP template would need a strike at or below the \$64 break-floor, which is ~23% out of the money for negligible premium and whose only success case is assignment into a name this court just rejected. **VRP cannot be stated** — no chain IV and no RV. That is a hard blocker on any premium sale under the gates, not a judgement call.

Bimodality: the table *is* fork-dated — scenarios 1/5 versus 3 hinge on a single binary (does CVC close), and a lognormal is the wrong shape for it. Any option priced off a single IV misprices the fork in both directions.

Tax overlay: 2026 is a harvest year against a zero-basis gain with a \$1.855m reserve. Every structure above expires in 2027, which lands the loss branch after Dec 31 and defers it out of the intended tax year. Exclusion is automatic unless the edge numerically dominates — and the edge here is *negative* (we would be paying 1.65–2.29x our own fair value).

INSTRUMENT RECOMMENDATION: NONE. Not stock (FLAT verdict, +5.3% expected price return with a 10% break branch, and no desk FV to anchor on). Not calls (fail by 1.65–2.29x on our own numbers). Not covered calls (nothing owned). Not CSPs (gates fail on an unstateable VRP, and success = assignment into a rejected name). This is the output of the arithmetic above, not a posture.

Net: the NA picks-and-shovels expression via IFF is rejected on order-of-magnitude materiality, and the kill survives simultaneous 3x widenings of price and scope. Two of the first bench's seven findings were evidence-defective — the wrong-venue silence claim and the mixed-basis deceleration claim — and correcting both makes IFF look *better as a business* and no better as an NA expression. Two things are owed and neither is a verdict: the four untried basket legs, with basket-internal substitution as the governing prior; and IFF-as-carve-out at ~14.4x pro-forma with EBITDA guided at roughly twice sales growth, which this court did not try and must not be read as having killed.

```

{"price_gates": [{"level": 62.40, "direction": "below", "basis": "11x pro-forma
EV/EBITDA reopen (blue trigger d): 11 x $1.565bn + $3.832bn proceeds -
$5.13bn net debt / 255.15m sh; band $61-64"}, {"level": 58.42, "direction":
"below", "basis": "52-week low breach - distinguish dislocation from beta-
bleed before any re-court"}, {"level": 91.21, "direction": "above", "basis":
"street PT touched with no desk FV on file - forces the untried carve-out
court, not a chase"}], "event_gates": [{"forms": ["8-K"], "why": "CVC Food
Ingredients transaction: regulatory approval, consultation completion, close,
repricing or termination"}, {"forms": ["8-K", "EX-99.1"], "why": "any
revision to FY26 guide (sales cc +2-4%, EBITDA cc +4-8%) - margin expansion
is the load-bearing leg of the untried case"}, {"forms": ["10-K"], "why":
"FY2026 annual: whether beverage/alcohol end markets are ever quantified, and
the accounting policy for the retained ~10% CVC stake"}, {"forms": ["10-Q"],
"why": "first post-close quarter: carrying value and fair-value level for the
retained ~10% CVC interest (unpriced by both benches)"}], "catalyst_dates":
[{"date": "2026-11-03", "what": "Q3 2026 earnings print - yfinance-derived,
no company PR names it", "confirmed": false}, {"date": "2027-02-19", "what":
"FY2026 10-K - date estimated from prior-year filing cadence, not announced",
"confirmed": false}, {"date": "2027-06-30", "what": "CVC Food Ingredients
close - company expectation 'by end of Q2 2027', subject to regulatory
approvals; not a contractual outside date we have seen", "confirmed":
false}], "immediate_entry": null, "unverified": [{"item": "Purchased NA-
repair chemistry cost per hectolitre from a primary source", "instrument":
"brewer ingredient-line COGS breakdown or a published techno-economic study
of NA brewing", "drainable_now": false, "estimate": {"range": "$0.30-1.50 per
hL", "basis": "flavour/enzyme add-back at 1-3% of ~$30-60/hL ex-packaging
beer COGS; corroborated independently by DIAZYME NOL0 grist-saving arithmetic
($0.6-1.3/hL capturable)", "p": 0.8}}, {"item": "IFF beverage/alcohol revenue
as a share of group (no disaggregation exists in any venue, incl. the 10-K)",
"instrument": "IFF investor day end-market disaggregation, or a Taste segment
revenue note if ever published", "drainable_now": false, "estimate":
{"range": "beverages ~25-35% of Taste, ~$700-950m of group; alcohol a minor
slice, NA a rounding error", "basis": "Givaudan Taste & Wellbeing disclosed
split (Beverages 36%) as closest public comp", "p": 0.5}}, {"item": "Whether
departing Food Ingredients texturants/emulsifiers serve dealcoholised-
beverage body-rebuild applications", "instrument": "IFF product-line
application data or the Food Ingredients carve-out financials at close",
"drainable_now": false, "estimate": {"range": "<$20m of disposal-group
revenue", "basis": "NA beverage share of the global texturant end market",
"p": 0.6}}, {"item": "Carrying value and accounting method for the retained
~10% CVC equity interest", "instrument": "first post-close 10-Q (approx Q3
2027) fair-value / equity-method note", "drainable_now": false, "estimate":
{"range": "~$383m at implied deal value (10% x $3.832bn); likely cost or
equity method, not marked", "basis": "announced transaction consideration in
8-K Item 7.01", "p": 0.7}}, {"item": "Whether a granted IFF/Danisco patent
claims IM0-generation in brewing (reopen trigger c)", "instrument": "USPTO
assignee + CPC search: Danisco US Inc / International Flavors & Fragrances,
CPC C12C and C12H", "drainable_now": true, "estimate": null}, {"item": "IFF
current dividend rate (load-bearing for the EV total-return line)",
"instrument": "XBRL pull / 10-Q financing activities and dividends-declared",
"drainable_now": true, "estimate": {"range": "$0.40/qtr, ~1.9% yield",
"basis": "last known declared rate; not in evidence pack", "p": 0.7}}, {"item":
"Chain-level midpoint IV, IV percentile, RV and therefore the VRP",
"instrument": "IBKR get_option_parameters + get_option_data +
get_price_snapshot (option_midpoint_iv, implied_volatility_percentile,
historical_vol) - permission-denied to both benches and to this deck",
"drainable_now": false, "estimate": {"range": "1-yr IV 28-32%; IV percentile
unknown", "basis": "large-cap specialty-chemical base rate with a pending
regulatory-conditioned disposal", "p": 0.6}}, {"item": "Q3 2026 print date
confirmation", "instrument": "IFF IR press release naming the date; replaces
the yfinance derivation", "drainable_now": false, "estimate": {"range":
"2026-11-03 +/- 5 sessions", "basis": "yfinance derivation plus prior-year
reporting cadence", "p": 0.7}}, {"item": "Whether the Parametric direct-index

```

```
sleeve already holds IFF (wash-sale / duplication in a harvest year)",  
"instrument": "newest Parametric Bundle_*.zip holdings file",  
"drainable_now": true, "estimate": null}, {"item": "IFF average daily dollar  
volume (used in the reflexive/size leg)", "instrument": "IBKR  
get_price_history volume bars, or avg_90d_usd_volume snapshot – permission-  
denied", "drainable_now": false, "estimate": {"range": "1.5–2.5m shares/day,  
~$125–200m/day", "basis": "S&P mid-large-cap turnover base rate at a $21bn  
market cap", "p": 0.7}}, {"item": "Which GEA division books brewery/AromaPlus  
revenue and its size (bears on the untried GEA leg)", "instrument": "GEA H1  
2026 interim report (published 2026-08-10) division notes", "drainable_now":  
true, "estimate": null}, {"item": "UK DHSC consultation launch on raising the  
alcohol-free ceiling from 0.05% to 0.5% ABV", "instrument": "gov.uk / DHSC  
consultation register; UK Parliament written answers", "drainable_now":  
false, "estimate": {"range": "launch within 12 months p~0.45; enactment  
materially later", "basis": "DHSC written answer 2026-06-09: engagement  
concluded, officials 'reviewing the insights', no date given", "p": 0.45}}}]}
```

ADJUDICATION STAMP — 2026-09-04 (FABLE) — NA-CHEMISTRY FAMILY RULING

THESIS REJECTED on all five chemistry-layer expressions; with the brewer courts this closes the NA-substitution FAMILY: seven expressions, three layers, seven deaths on the same denominator. Three independent instruments converge: the global purchased-chemistry pool for NA repair is \$11–55M (IFF benches); a full Kerry monopoly on it re-rates the equity 1.5–4.7% (the impossible case); GEA's monopoly-everything bull is 9% of group at its worst-margin division vs 0.9–1.8% demonstrated. Every FLAT is earned by named novel kills. Blue audits corrected three red financial cases — Givaudan is FAIR not expensive (RP_TAINTED was misapplied), Symrise's deceleration was a period-selection artifact, IFF looks better as a business post-audit — so four spin-off theses route to their own courts rather than inheriting this one: GIVN quality/TINA, SY1 compounder (alert €72), KRZ compounder (ROE gate), G1A industrial compounder (NPE +40% organic). Family reopens on: Athletic Brewing S-1, 2587.T Oceania disclosure (11/11 pack), G1A's 11/09 segment note ($\geq$ €110M brewing line — the one dated trigger), or any primary putting NA ingredient value $>$ \$8–24/hL. The yeast-supplier IP finding is the one new scout lead. SCIENCE stage maiden run: validated — all five briefs pre-empted the traps the brewer courts hit mid-argument. 13 KG detectors accepted, incl. the monopoly-capture/per-unit-breakeven prize-test pair ("price the roof before arguing the ladder"). Full ruling: [desk/data/court_artifacts/NA_CHEMISTRY_ADJUDICATION_202609040700.md](#).